

ASCII MASTER FLOW – PANEL 1/12: Why a statutory regulator is created

TECHNICAL COMPLEXITY -> generalist departments cannot set or police detailed sector rules

INSULATION -> individual licensing and tariff decisions removed from daily political direction

PREDICTABILITY -> consistent rule-making that investors and users can plan against

COST -> the same insulation creates an accountability problem and a capture risk

MUST REMEMBER: Regulatory governance sets rules, licences, standards, monitoring,...

ASCII MASTER FLOW – PANEL 2/12: Trilemma with paired design features

AUTONOMY: fixed-term appointment -> ACCOUNTABILITY: annual report laid before Parliament
AUTONOMY: fee or cess funding -> ACCOUNTABILITY: audit of the regulator's own accounts
AUTONOMY: technical composition -> ACCOUNTABILITY: policy directions in specified circumstances
AUTONOMY: statutory rule-making -> ACCOUNTABILITY: consultation with a published response
AUTONOMY: security of tenure -> ACCOUNTABILITY: appellate tribunal and judicial review

ASCII MASTER FLOW – PANEL 3/12: Independence spectrum

LOW END -> a ministry-controlled department: strong political control, weak insulation

HIGH END -> fixed tenure, own funding, removal for cause, technical composition

REALITY -> no Indian regulator sits at either extreme; the statute fixes the placement

WEDGE -> compare the formal grant with the working reality for the same body

ASCII MASTER FLOW – PANEL 4/12: How capture happens lawfully

INFORMATION ASYMMETRY -> the industry knows the sector better than the regulator
-> dependence on industry data, expertise and personnel becomes structural
-> revolving door, funded research and repeat-player access shape the agenda
-> framing capture: the regulator adopts the industry's definition of the problem
-> outcome: entry barriers described as quality standards; no illegality is needed

ASCII MASTER FLOW – PANEL 5/12: Two directions of failure

INDUSTRY CAPTURE -> rules that serve incumbents and exclude entrants

MINISTERIAL CAPTURE -> politically timed decisions and suppressed tariffs

SHARED CORRECTIVE -> consultation with published responses and reasoned orders

SHARED CORRECTIVE -> cooling-off periods, in-house capacity, user representation

ASCII MASTER FLOW – PANEL 6/12: Six-test design checklist

- 1 STATUTORY MANDATE -> what exactly is it empowered to do, and by which Act
 - 2 APPOINTMENT AND REMOVAL -> who selects, on what criteria, can removal be arbitrary
 - 3 FUNDING -> does the money come from a source the ministry or the industry controls
 - 4 RULE-MAKING -> pre-consultation, published response to comments, impact appraisal
 - 5 ENFORCEMENT DUE PROCESS -> notice, hearing, reasoned order, proportionality, no bias
 - 6 REVIEW AND REPORTING -> appellate route and reporting to the legislature
- CLOSE DISTINCTION: Independence is protection from improper direction, not immunity from...

ASCII MASTER FLOW – PANEL 7/12: Competition regulator card

PARENT STATUTE -> the Competition Act, 2002

FUNCTIONS -> anti-competitive agreements, abuse of dominance, review of combinations

APPEAL -> National Company Law Appellate Tribunal, then the Supreme Court

OFFICIAL PURPOSE -> an enabling competition culture, consumer welfare, economic growth

BOUNDARY -> no case, party, penalty amount or order date is asserted anywhere

ASCII MASTER FLOW – PANEL 8/12: Dominance against abuse

LAWFUL -> holding a dominant position in a defined relevant market

UNLAWFUL -> predatory or unfair pricing; unfair or discriminatory conditions

UNLAWFUL -> limiting production or technical development; denial of market access

UNLAWFUL -> tying and bundling; leveraging dominance into an adjacent market

ASCII MASTER FLOW – PANEL 9/12: Two regulatory clocks

SECTOR REGULATOR -> ex-ante: licences, tariffs, technical standards, entry conditions

COMPETITION REGULATOR -> ex-post: conduct across the whole economy after the event

OVERLAP -> a genuine jurisdictional question, not an oversight in the design

LIMIT -> remedies arrive after the market structure has already shifted

ASCII MASTER FLOW – PANEL 10/12: Tribunal reform timeline

2021 -> the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

19 NOVEMBER 2025 -> 2025 INSC 1330 invalidates four heads of re-enacted provisions

SAME JUDGMENT -> earlier Madras Bar Association standards made controlling

SAME JUDGMENT -> a National Tribunals Commission directed within four months

9 MARCH 2026 -> interim extensions for specified incumbents to 8 September 2026

13 AUGUST 2026 -> no establishment notification located; implementation unresolved

ASCII MASTER FLOW – PANEL 11/12: Architecture proposal against adoption

PROPOSAL -> a Unified Financial Agency on a regulation-by-activity principle, 2013

SCOPE -> subsuming most financial regulators, excluding the central bank

SEPARATE PROPOSAL -> a draft Indian Financial Code consolidating the legislation

OUTCOME -> neither implemented in full; a 2015 merger is a partial related step only

ASCII MASTER FLOW – PANEL 12/12: Answer spine for a regulatory demand

OPEN -> statutory character first: statutory, not constitutional, not executive-created

BUILD -> mandate, function and appellate route, then the trilemma and capture mechanism

CORRECT -> apply the six tests and name both directions of capture with correctives

CLOSE -> graded verdict, dated status for anything unresolved, stated question ownership

EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use RBI, SEBI, TRAI, CERC and CCI only with...